similar to newly publicly traded companies, where much of the market capitalization of the company is based on what investors expect from it in the future. As a result, the multiple of sales at which the company is valued is much greater than the multiple of sales that a more mature company will trade at. For example, a young, fast-growing company with $100 million in revenue may be worth $1 billion, whereas a much older company that is hardly growing may have $500 million in sales and also be worth $1 billion. With these two companies, the younger one has greater investor speculation about the future cash flow of the company baked into what it’s worth, while with the older company, investors are valuing it much more closely to its current revenue situation because they know more or less what they’ll be getting going forward.

With cryptoassets, much of the speculative value can be derived from the development team. People will have more faith that a cryptoasset will be widely adopted if it is crafted by a talented and focused development team. Furthermore, if the development team has a grand vision for the widespread use of the cryptoasset, then that can increase the speculative value of the asset.

As each cryptoasset matures, it will converge on its utility value. Right now, bitcoin is the furthest along the transition from speculative price support to utility price support because it has been around the longest and people are using it regularly for its intended utility use cases. For example, in 2016, $100,000 of bitcoin was transacted every minute, which creates real demand for the utility of the asset beyond its